But their father fell ill in the middle of 2006. The family got together a team of lawyers and accountants to try to defend themselves from the dreaded estate tax should something happen to their father. But they didn’t act fast enough. Their father passed away just a few months later, before the structures that had been created went into effect. Again, they had to face the full brunt of the estate tax.

The family ranch passed to Clayton and his brother Will, the fifth generation to own and work the land. But they had to pay the government to transfer the ranch again! And, once again, they didn’t have much cash saved up. And what they did have was quickly spent on lawyers and accountants, just to determine what they owed the IRS.

So they had to set up another payment plan with the IRS!

Now they have to make two estate tax payments every year. One for the grandmother’s estate, and the other for the father’s estate a decade later.

They will be making these payments for the next 15 years.

Five generations of the family have worked the land. But they didn’t prepare to pay off their silent partner, the U.S. government, to allow them to keep family property in the family. According to Clayton, they will probably have to sell off more land to pay the government. The more land they sell, the more it hurts the profitability of their cattle-ranching operation.

Not preparing for the estate tax is the most basic family wealth blunder you can make. It destroys thousands of otherwise prosperous family businesses.

“PRINCESS TNT” SAVES THE ROYAL ESTATE

Albert von Thurn und Taxis has $2.3 billion. The 28-year-old is considered one of the most eligible bachelors in Europe. He’s a billionaire prince after all.

In 1490, his ancestors organized a postal line connecting Europe’s capital cities. They eventually became the postmasters general for the Holy Roman